

Chapter 2 | Practice Questions

The Balance Sheet

These questions come from the Connect homework.
 If something looks off, check it against Connect first.
 If it still looks wrong, report it to me (yu10j@cmich.edu).

Set 1 | Terms INDEPENDENT

Q1. Match each definition with the term it defines.

Choices: A. Transaction B. Duality of effects C. Journal entry D. Assets E. Liabilities F. Retained Earnings

Definition	Answer
1. An exchange or event that has a direct and measurable financial effect.	_____
2. The results of transaction analysis in debits-equal-credits format.	_____
3. An economic resource owned by a business.	_____
4. Cumulative earnings of a company that are not distributed to the owners.	_____
5. Every transaction has at least two effects.	_____
6. Amounts presently owed by a business.	_____

Answers, Set 1:

Q1. 1 A 2 C 3 D 4 F 5 B 6 E

Set 2 | D|C Effects INDEPENDENT One column per question.

Q1. What effect does a **debit** have on each element of the accounting equation?

Choices: A. Increases B. Decreases

Element	Answer
1. Assets	_____
2. Liabilities	_____
3. Stockholders' Equity	_____

Q2. What effect does a **credit** have on each element of the accounting equation?

Choices: A. Increases B. Decreases

Element	Answer
1. Assets	_____
2. Liabilities	_____
3. Stockholders' Equity	_____

Answers, Set 2:

Q1. 1 A 2 B 3 B

Q2. 1 B 2 A 3 A

Set 3 | Increase / Decrease, D|C INDEPENDENT One column per question.

Q1. Which entry **increases** each element of the accounting equation?

Choices: **A.** Debit **B.** Credit

Element	Answer
1. Assets	_____
2. Liabilities	_____
3. Stockholders' Equity	_____

Q2. Which entry **decreases** each element of the accounting equation?

Choices: **A.** Debit **B.** Credit

Element	Answer
1. Assets	_____
2. Liabilities	_____
3. Stockholders' Equity	_____

Answers, Set 3:

Q1. 1 A 2 B 3 B

Q2. 1 B 2 A 3 A

Set 4 | Balance Sheet Classification INDEPENDENT

Q1. Indicate how each account normally should be **categorized** on a classified balance sheet.

Choices: **A.** Current Asset **B.** Noncurrent Asset **C.** Current Liability **D.** Noncurrent Liability
E. Stockholders' Equity

Account	Answer
1. Accounts Payable	_____
2. Accounts Receivable	_____
3. Buildings	_____
4. Cash	_____
5. Common Stock	_____
6. Equipment	_____
7. Income Tax Payable	_____
8. Notes Payable (due in three years)	_____
9. Notes Payable (due in six months)	_____
10. Retained Earnings	_____
11. Salaries and Wages Payable	_____
12. Supplies	_____

Q2. Indicate whether each account normally has a **debit or credit balance**.

Choices: **A.** Debit **B.** Credit

Account	Answer
1. Accounts Payable	_____
2. Accounts Receivable	_____
3. Buildings	_____
4. Cash	_____
5. Common Stock	_____
6. Equipment	_____
7. Income Tax Payable	_____
8. Notes Payable (due in three years)	_____
9. Notes Payable (due in six months)	_____
10. Retained Earnings	_____
11. Salaries and Wages Payable	_____
12. Supplies	_____

Answers, Set 4:

Q1. 1 C 2 A 3 B 4 A 5 E 6 B 7 C 8 D 9 C 10 E 11 C 12 A

Q2. 1 B 2 A 3 A 4 A 5 B 6 A 7 B 8 B 9 B 10 B 11 B 12 A

Set 5 | Recordable Transactions INDEPENDENT

Q1. A list of events for **The Toro Company** is shown below. Do the following events result in a recordable transaction for The Toro Company? Select yes or no for each.

Choices: A. Yes B. No

Event	Answer
1. Toro purchased robotic manufacturing equipment that it paid for by signing a note payable.	_____
2. Toro's president purchased stock in another company for his own portfolio.	_____
3. The company lent \$550 to an employee.	_____
4. Toro ordered supplies from Office Depot to be delivered next week.	_____
5. Six investors in Toro sold their stock to another investor.	_____
6. The company borrowed \$2,500,000 from a local bank.	_____

Answers, Set 5:

Q1. 1 A 2 B 3 A 4 B 5 B 6 A

Set 6 | Laser Delivery INDEPENDENT One transaction per view.

Laser Delivery Services, Incorporated (LDS) was incorporated January 1. Record the effects of each transaction using a journal entry.

Accounts — answer each blank with the account's number. An account can be used more than once, and not every account is used.

- | | | |
|---------------------|---------------------|------------------------------------|
| 1. Accounts Payable | 5. Equipment | 9. Repairs and Maintenance Expense |
| 2. Buildings | 6. Land | 10. Retained Earnings |
| 3. Cash | 7. Notes Payable | 11. No Journal Entry Required |
| 4. Common Stock | 8. Notes Receivable | |

Q1. a. Received \$40,000 cash from the company's founders in exchange for common stock. Select the account number for each blank.

General Journal	Debit	Credit
(a) _____	40,000	
(b) _____		40,000

Q2. b. Purchased land for \$12,000, signing a two-year note (ignore interest). Select the account number for each blank.

General Journal	Debit	Credit
(a) _____	12,000	
(b) _____		12,000

Q3. c. Bought two used delivery trucks at a cost of \$10,000 each; paid \$2,000 cash and signed a note due in three years for \$18,000. Select the account number for each blank.

General Journal	Debit	Credit
(a) _____	20,000	
(b) _____		2,000
(c) _____		18,000

Q4. d. Paid \$2,000 cash to a truck repair shop for a new motor, which increased the cost of one of the trucks. Select the account number for each blank.

General Journal	Debit	Credit
(a) _____	2,000	
(b) _____		2,000

Q5. e. Stockholder Ruby Lee paid \$300,000 cash for a house for personal use. Select the account number for the blank.

General Journal	Debit	Credit
(a) _____		

Answers, Set 6:

Q1. (a) 3. Cash (b) 4. Common Stock

Q2. (a) 6. Land (b) 7. Notes Payable

Q3. (a) 5. Equipment (b) 3. Cash (c) 7. Notes Payable

Q4. (a) 5. Equipment (b) 3. Cash

Q5. (a) 11. No Journal Entry Required

Set 7 | J.K. Builders INDEPENDENT One transaction per view.

Accounts — answer each blank with the account's number. An account can be used more than once, and not every account is used.

- | | | |
|---------------------|----------------------|-------------------------------|
| 1. Accounts Payable | 5. Land | 9. Supplies |
| 2. Buildings | 6. Notes Payable | 10. Supplies Expense |
| 3. Cash | 7. Notes Receivable | 11. No Journal Entry Required |
| 4. Common Stock | 8. Retained Earnings | |

Q1. J.K. Builders bought a field for **\$60,000 cash** that it estimates is worth **\$65,000** to the company, and received lumber supplies that normally sell for **\$10,000** at a **10% discount**. At what amount is each asset recorded?

	A	B	C	D
1. Land	\$60,000	\$65,000	\$125,000	\$5,000
2. Supplies	\$1,000	\$9,000	\$10,000	\$11,000

Q2. a. J.K. Builders received \$70,000 cash invested by owners and issued common stock. Select the account number for each blank.

General Journal	Debit	Credit
(a) _____	70,000	
(b) _____		70,000

Q3. b. J.K. Builders bought an unused field from a local farmer by paying \$60,000 cash. Select the account number for each blank.

General Journal	Debit	Credit
(a) _____	60,000	
(b) _____		60,000

Q4. c. A lumber supplier delivered supplies to J.K. Builders, which has not yet received the \$9,000 bill. Select the account number for each blank.

General Journal	Debit	Credit
(a) _____	9,000	
(b) _____		9,000

Q5. d. J.K. Builders borrowed \$25,000 from the bank, to be repaid in two years. Select the account number for each blank.

General Journal	Debit	Credit
(a) _____	25,000	
(b) _____		25,000

Q6. e. One of the owners sold \$10,000 worth of his common stock to another shareholder for \$11,000. Select the account number for the blank.

General Journal	Debit	Credit
(a) _____		

Answers, Set 7:

Q1. 1 A 2 B

Q2. (a) 3. Cash (b) 4. Common Stock

Q3. (a) 5. Land (b) 3. Cash

Q4. (a) 9. Supplies (b) 1. Accounts Payable

Q5. (a) 3. Cash (b) 6. Notes Payable

Q6. (a) 11. No Journal Entry Required

Set 8 | Spotlighter — Journal Entries **INDEPENDENT** One transaction per view.

Accounts — answer each blank with the account's number. An account can be used more than once, and not every account is used.

- | | | |
|------------------------|----------------------|----------------------|
| 1. Accounts Payable | 5. Equipment | 9. Supplies |
| 2. Accounts Receivable | 6. Notes Payable | 10. Supplies Expense |
| 3. Cash | 7. Notes Receivable | |
| 4. Common Stock | 8. Retained Earnings | |

Q1. a. Spotlighter, Incorporated borrowed \$3,940 from a local bank on a note due in six months. Select the account number for each blank.

General Journal	Debit	Credit
(a) _____	3,940	
(b) _____		3,940

Q2. b. Spotlighter received \$4,630 cash from investors and issued common stock to them. Select the account number for each blank.

General Journal	Debit	Credit
(a) _____	4,630	
(b) _____		4,630

Q3. c. Spotlighter purchased \$1,000 in equipment, paying \$200 cash and promising the rest on a note due in one year. Select the account number for each blank.

General Journal	Debit	Credit
(a) _____	1,000	
(b) _____		200
(c) _____		800

Q4. d. Spotlighter paid \$300 cash for supplies. Select the account number for each blank.

General Journal	Debit	Credit
(a) _____	300	
(b) _____		300

Q5. e. Spotlighter bought and received \$700 of supplies on account. Select the account number for each blank.

General Journal	Debit	Credit
(a) _____	700	
(b) _____		700

Answers, Set 8:

Q1. (a) **3.** Cash (b) **6.** Notes Payable

Q2. (a) **3.** Cash (b) **4.** Common Stock

Q3. (a) **5.** Equipment (b) **3.** Cash (c) **6.** Notes Payable

Q4. (a) **9.** Supplies (b) **3.** Cash

Q5. (a) **9.** Supplies (b) **1.** Accounts Payable

Set 9 | Spotlighter — T-Accounts INDEPENDENT

The following are the transactions of **Spotlighter, Incorporated** for the month of January. Every account begins at zero.

- **a.** Borrowed \$3,940 from a local bank on a note due in six months.
- **b.** Received \$4,630 cash from investors and issued common stock to them.
- **c.** Purchased \$1,000 in equipment, paying \$200 cash and promising the rest on a note due in one year.
- **d.** Paid \$300 cash for supplies.
- **e.** Bought and received \$700 of supplies on account.

Q1. Determine the ending balance of each account.

	A	B	C	D	E
1. Cash	\$7,370	\$7,870	\$8,070	\$8,370	\$8,570
2. Supplies	\$0	\$300	\$400	\$700	\$1,000
3. Equipment	\$200	\$800	\$1,000	\$1,200	\$1,800
4. Accounts Payable	\$0	\$700	\$800	\$1,000	\$1,500
5. Notes Payable	\$800	\$3,940	\$4,140	\$4,640	\$4,740
6. Common Stock	\$3,940	\$4,630	\$4,740	\$8,570	\$9,370

Answers, Set 9:

Q1. 1C 2E 3C 4B 5E 6B

Set 10 | Spotlighter — Classified Balance Sheet INDEPENDENT

Prepare a classified balance sheet for **Spotlighter, Incorporated** as of January 31, including a zero balance for Retained Earnings. The ending balances:

Account	Balance
Cash	\$8,070
Supplies	1,000
Equipment	1,000
Accounts Payable	700
Notes Payable (short-term)	4,740
Common Stock	4,630
Retained Earnings	0

Q1. Determine the amount of each line below on the classified balance sheet.

	A	B	C	D	E
1. Total Current Assets	\$1,000	\$2,000	\$8,070	\$9,070	\$10,070
2. Total Assets	\$2,000	\$8,070	\$9,070	\$10,070	\$11,070
3. Total Current Liabilities	\$700	\$4,040	\$4,740	\$5,440	\$10,070
4. Retained Earnings	\$0	\$700	\$4,630	\$5,440	\$10,070
5. Total Stockholders' Equity	\$0	\$4,630	\$5,440	\$9,370	\$10,070
6. Total Liabilities and Stockholders' Equity	\$4,630	\$5,440	\$9,070	\$9,370	\$10,070

Answers, Set 10:

Q1. 1D 2D 3D 4A 5B 6E